Mughal armies, and Rajputs, Afghans, and Jats took over new areas. The vacuum was partly filled by the Maratha Confederacy, which expanded rapidly into Gujarat and Malwa under Peshwa Bajirao I. In 1739, the Persian king Nadir Shah invaded India and sacked Delhi, leading to the Mughals' effective loss of Punjab and the north-west frontiers. Maratha hegemony expanded further, with Raghuji Bhonsle of Nagpur campaigning to Bengal, Bihar, and Odisha. But this period invited further intervention: for example, a succession crisis in Golconda following the Nizam's death in 1748 resulted in a rare French overland expedition into Maharashtra.

But after a period of Maratha primacy, during which their armies reached Delhi in 1752–55, the battle of Panipat on 14 January 1761, saw a devastating defeat to the Afghan army of Ahmed Shah Abdali. Even before the battle, the Marathas had trouble securing some allies and their camp suffered from disease and shortages of money and food. Once the battle started, the coordination of forces and artillery proved ineffective against more heavily armed Afghan cavalry. The third battle of Panipat featured perhaps the most battle deaths in a single day in Indian history. Still, Maratha power did not fade immediately, and during a brief renaissance, they were still to inflict some defeats against the British. Among many other developments during the resurrection of Maratha power, this period saw the extraordinary regency of Ahilyabai Holkar of Indore between the 1760s and 1790s, the rare female leader who was both literate and actively engaged in military and diplomatic affairs. (In fact, she could perhaps lay claim to being one of India's first female diplomats. [55]) A combination, however, of factionalism and steady British advances led to the decline of Maratha power between 1803 and 1818.

The Marathas were the last Indian power to develop significant naval capabilities before the dominance of the British. Beginning in the seventeenth century under Shivaji, the Marathas built ships capable of helping in amphibious operations, as against Sidi Yakub's stronghold at Danda Rajapur. [56] The early Maratha navy also benefited from recruiting Portuguese mercenaries. Later, Kanhoji Angre—who governed portions of the Konkan coast after playing a critical role in dynastic negotiations—